IB Economics - Topic 2.1: Teacher and AI Grading Guide

Demand | 50 paired questions

Scope and assessment status

This bank contains 50 original Paper 1-style pairs: (a) 10 marks, (b) 15 marks. Questions 1-40 are SL/HL; questions 41-50 are HL only. Difficulty across the entire pair: 10 Easy, 25 Medium and 15 Hard. Difficulty is separate from syllabus level.

Official Topic 2.1 includes the law of demand, a downward-sloping demand curve, individual and market demand, five non-price determinants, and movements and shifts. The income and substitution effects and diminishing marginal utility are HL only. No price elasticity, market-equilibrium, tax, subsidy, surplus or market-failure model is assessed.

The evaluation tasks offer adapted Paper 1-style extended-response practice. Several questions revisit a core mechanism from a different analytical angle because this is a narrow syllabus topic; they are practice alternatives, not 50 independent syllabus outcomes. This is original guidance, not official IB marking material.

Coverage blueprint

Law of demand and price movements: 1-4

Individual and market demand: 5-8

Income and normal/inferior goods: 9-12

Tastes and preferences: 13-16

Future price expectations: 17-20

Substitutes: 21-25

Complements: 26-30

Number and composition of consumers: 31-35

Distinguishing movements and shifts: 36-40

HL assumptions underlying the law: 41-50

Marking principles

Award each part a best-fit mark, then total out of 25. The indicative routes identify key economic content and plausible alternatives rather than allocating marks per keyword. Credit relevant, accurate alternatives even when they differ from an example here.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partly developed; 7-8 clear and accurate; 9-10 fully developed, well-integrated explanation. Assess definitions, causal reasoning and any required diagram together. Do not treat these abridged bands as official descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed analysis with limited balance; 10-12 balanced evaluation; 13-15 sustained, applied evaluation with a supported judgment. A real case must be connected to the economic mechanism. Alternative valid judgments earn full credit.

Diagram and AI grading

When a diagram is requested, check P vertical, Q horizontal, relevant D labels, correct direction of a movement on the SAME curve or a shift of the WHOLE curve, clear initial/new points or fixed-price comparisons, and verbal interpretation. An isolated demand diagram does not determine an equilibrium price. If the image is illegible, flag it rather than inventing labels. Do not penalise artistic quality or insist on one graphical layout.

In marking, record (a) and (b) marks separately, evidence supporting each band, conceptual errors, how real examples were used, and one improvement for each part. Do not require the suggested example, precise statistics or a policy conclusion. Cases below are possible contextual applications, not assertions that one determinant solely caused a documented change.

Question 1

Easy | SL/HL | 25 marks

Topic 2.1: law of demand; quantity demanded versus demand; ceteris paribus; Law of demand: own price

(a) [10] Using an appropriate diagram, explain the relationship between the price of a good and its quantity demanded, ceteris paribus.

(b) [15] Using real-world examples, discuss whether a fall in a good's price will always be accompanied by an increase in purchases.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Show two points on one downward-sloping demand curve; a price fall raises quantity demanded under unchanged conditions.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Show two points on one downward-sloping demand curve; a price fall raises quantity demanded under unchanged conditions.

Counterargument and conditions. Actual purchases may change with income, tastes, availability or other determinants; distinguish observed sales from the conditional claim.

Application and real-world example. A retailer's temporary price reduction versus the 2020 closure of physical clothing shops (ONS case A).

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 2

Medium | SL/HL | 25 marks

Topic 2.1: law of demand; quantity demanded versus demand; ceteris paribus; Law of demand: inverse relation

(a) [10] Explain why a rise in the price of a good is normally associated with a lower quantity demanded.

(b) [15] Using real-world examples, evaluate how useful the law of demand is in explaining changes in consumer purchases.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Higher own price makes the good less attractive at the margin, under otherwise unchanged conditions; distinguish inverse relation from the size of change.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Higher own price makes the good less attractive at the margin, under otherwise unchanged conditions; distinguish inverse relation from the size of change.

Counterargument and conditions. Observed quantities reflect concurrent shifts and access; usefulness is conditional, with no need for elasticity terminology.

Application and real-world example. Fuel retail during the 2020 travel restrictions (A); a local price increase is an alternative example.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 3

Hard | SL/HL | 25 marks

Topic 2.1: law of demand; quantity demanded versus demand; ceteris paribus; Own price and demand distinction

(a) [10] Using an appropriate diagram, explain the difference between a decrease in demand and a decrease in quantity demanded.

(b) [15] Using real-world examples, discuss whether falling sales provide enough evidence to conclude that demand has decreased.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. A price increase moves up/left along D, whereas a non-price determinant shifts the whole D left; same observed fall can have different causes.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. A price increase moves up/left along D, whereas a non-price determinant shifts the whole D left; same observed fall can have different causes.

Counterargument and conditions. Sales observations alone lack the fixed-price comparisons and context needed to separate mechanisms.

Application and real-world example. 2020 fuel sales decline during travel restrictions (A): a demand-side explanation is possible, but supply/access also mattered.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 4

Medium | SL/HL | 25 marks

Topic 2.1: law of demand; quantity demanded versus demand; ceteris paribus; Reading a demand schedule

(a) [10] Explain how a demand schedule can be used to construct a market demand curve.

(b) [15] Using real-world examples, evaluate the usefulness of a demand curve for understanding consumer choices in a changing market.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. At each given price record quantities people are willing and able to buy, then plot ordered price-quantity pairs; hold determinants fixed.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. At each given price record quantities people are willing and able to buy, then plot ordered price-quantity pairs; hold determinants fixed.

Counterargument and conditions. A schedule is conditional; tastes, income and buyer numbers may change while prices are observed.

Application and real-world example. Online retail growth during 2020 (A) illustrates a market changing outside the price-only relationship.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 5

Medium | SL/HL | 25 marks

Topic 2.1: individual and market demand; horizontal summation; Individual to market demand

(a) [10] Explain the relationship between an individual's demand and market demand for a good.

(b) [15] Using real-world examples, discuss whether changes in one consumer's preferences can significantly change market demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. At a given price sum quantities demanded by all consumers horizontally; relative contribution depends on market size and consumer heterogeneity.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image. When individual curves are shown, market quantities are added horizontally at a COMMON price; do not add prices.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis. Add quantities horizontally at a common price, not prices or curve heights.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. At a given price sum quantities demanded by all consumers horizontally; relative contribution depends on market size and consumer heterogeneity.

Counterargument and conditions. One small buyer seldom dominates a broad market, but a concentrated local market can make the change consequential.

Application and real-world example. A small village shop versus national online retail (A) supplies contrasting market scales.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 6

Easy | SL/HL | 25 marks

Topic 2.1: individual and market demand; horizontal summation; Market aggregation

(a) [10] Explain how the quantities demanded by two consumers at each price can be combined to obtain market demand.

(b) [15] Using real-world examples, evaluate the importance of the number and composition of consumers when interpreting market demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Use horizontal addition at each common price, including zero purchases where relevant; a third consumer or changed preferences alters the sum.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image. When individual curves are shown, market quantities are added horizontally at a COMMON price; do not add prices.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis. Add quantities horizontally at a common price, not prices or curve heights.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Use horizontal addition at each common price, including zero purchases where relevant; a third consumer or changed preferences alters the sum.

Counterargument and conditions. Headcount alone does not tell the contribution of different buyers; avoid summing prices vertically.

Application and real-world example. Growth of a university town's student population is a plausible local application; actual figures are optional.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 7

Hard | SL/HL | 25 marks

Topic 2.1: individual and market demand; horizontal summation; Individual versus market shift

(a) [10] Using an appropriate diagram, explain how a change in several consumers' tastes can affect the market demand curve.

(b) [15] Using real-world examples, discuss the view that a change in market demand implies that every individual's demand has changed.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Aggregate consumers' changed quantities at each price; market D shifts even if some individuals are unchanged or move in the opposite direction.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis. Add quantities horizontally at a common price, not prices or curve heights.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Aggregate consumers' changed quantities at each price; market D shifts even if some individuals are unchanged or move in the opposite direction.

Counterargument and conditions. Differences across consumers matter; composition of the market may change too.

Application and real-world example. Online shopping increased in 2020 (A), though not all households switched equally.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 8

Medium | SL/HL | 25 marks

Topic 2.1: individual and market demand; horizontal summation; Entry of buyers

(a) [10] Explain how the entry of new consumers into a market affects market demand while the existing consumers' demand is unchanged.

(b) [15] Using real-world examples, evaluate whether growth in the number of buyers is sufficient to predict the size of an increase in market demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Additional buyers contribute their quantities at each price, shifting market D right; individual D of incumbents stays put.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis. Add quantities horizontally at a common price, not prices or curve heights.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Additional buyers contribute their quantities at each price, shifting market D right; individual D of incumbents stays put.

Counterargument and conditions. Buyers' incomes and tastes determine how much they add; merely counting them gives no magnitude.

Application and real-world example. Urban migration and local rental enquiries illustrate the mechanism without requiring a housing-market model.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 9

Hard | SL/HL | 25 marks

Topic 2.1: income; normal and inferior goods; Income: normal goods

(a) [10] Using an appropriate diagram, explain how a rise in income affects the demand for a normal good.

(b) [15] Using real-world examples, discuss whether rising household incomes necessarily increase demand for every good.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. For an inferior good, demand falls as income rises at a given own price; normal goods respond in the opposite direction.

Required reasoning. Normal-good D shifts right at each own price as purchasing power rises, ceteris paribus.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Normal-good D shifts right at each own price as purchasing power rises, ceteris paribus.

Counterargument and conditions. Inferior goods may lose demand; tastes and population can offset income effects.

Application and real-world example. Household spending on restaurant meals as incomes recover is a possible example; specify evidence for a claimed trend.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 10

Medium | SL/HL | 25 marks

Topic 2.1: income; normal and inferior goods; Income: inferior goods

(a) [10] Using an appropriate diagram, explain how a rise in income can reduce demand for an inferior good.

(b) [15] Using real-world examples, evaluate whether a good that is inferior for one group of consumers must be inferior for all consumers.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. For an inferior good, demand falls as income rises at a given own price; normal goods respond in the opposite direction.

Required reasoning. Inferior means negative demand response to income at a fixed own price, not low quality; show leftward shift.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Inferior means negative demand response to income at a fixed own price, not low quality; show leftward shift.

Counterargument and conditions. The classification can differ by buyer, income range and place; market demand aggregates them.

Application and real-world example. A lower-cost staple replacing preferred foods for some households; avoid assuming all staples are inferior.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 11

Easy | SL/HL | 25 marks

Topic 2.1: income; normal and inferior goods; Income and mixed goods

(a) [10] Explain why an increase in income can have different effects on demand for two goods.

(b) [15] Using real-world examples, discuss the view that the effect of income on demand depends more on the good than on the consumer.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. For an inferior good, demand falls as income rises at a given own price; normal goods respond in the opposite direction.

Required reasoning. Contrast a normal and inferior response under fixed prices; classification refers to income response.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Contrast a normal and inferior response under fixed prices; classification refers to income response.

Counterargument and conditions. Preferences and circumstances change which good is preferred as income rises; same good can be classified differently across people.

Application and real-world example. Low-cost and premium transport options during a recovery may differ; do not presume an observed change has a single cause.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 12

Medium | SL/HL | 25 marks

Topic 2.1: income; normal and inferior goods; Income and population

(a) [10] Using an appropriate diagram, explain how rising incomes and a falling number of consumers may affect market demand for a normal good.

(b) [15] Using real-world examples, evaluate whether income growth is enough to predict the direction of market demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. For an inferior good, demand falls as income rises at a given own price; normal goods respond in the opposite direction.

Required reasoning. Income tends to shift D right while fewer consumers tend to shift D left; net direction depends on relative effects.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Income tends to shift D right while fewer consumers tend to shift D left; net direction depends on relative effects.

Counterargument and conditions. Neither direction nor magnitude follows from signs alone; composition of departing buyers matters.

Application and real-world example. A city losing residents while remaining residents earn more is an illustrative demographic setting.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 13

Hard | SL/HL | 25 marks

Topic 2.1: tastes and preferences; Tastes: favourable shift

(a) [10] Using an appropriate diagram, explain how an increase in consumer preference for a good affects its demand.

(b) [15] Using real-world examples, discuss whether changing tastes provide a sufficient explanation for rapid growth in demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. More desired at each price shifts D right; distinguish preference from own-price movement.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. More desired at each price shifts D right; distinguish preference from own-price movement.

Counterargument and conditions. Buyer numbers, income, access and substitutes can also change; evidence must support attribution.

Application and real-world example. Growth of online shopping during 2020 (A), while store closures were another influence.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 14

Medium | SL/HL | 25 marks

Topic 2.1: tastes and preferences; Tastes: adverse shift

(a) [10] Using an appropriate diagram, explain how a decline in the popularity of a product affects its demand.

(b) [15] Using real-world examples, evaluate whether declining popularity inevitably leads to lower market demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Less preferred at each price shifts D left if other determinants unchanged.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Less preferred at each price shifts D left if other determinants unchanged.

Counterargument and conditions. New buyers or rising income may counteract a taste shift; observed quantity may also vary with own price.

Application and real-world example. Changing preferences for fashion styles provides an application if tied to a verifiable example.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 15

Medium | SL/HL | 25 marks

Topic 2.1: tastes and preferences; Heterogeneous tastes

(a) [10] Explain how a change in tastes among one group, but not another, can change market demand.

(b) [15] Using real-world examples, discuss whether advertising can explain a change in demand without evidence of a change in preferences.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Aggregate changed individual schedules; partial market shift depends on group's size and purchases.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Aggregate changed individual schedules; partial market shift depends on group's size and purchases.

Counterargument and conditions. Advertising exposure is not proof of changed tastes; price, availability and other conditions matter.

Application and real-world example. A branded product campaign is acceptable with named, documented sales or survey context.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 16

Easy | SL/HL | 25 marks

Topic 2.1: tastes and preferences; Temporary preference

(a) [10] Explain how a temporary change in tastes may shift a demand curve and subsequently reverse it.

(b) [15] Using real-world examples, evaluate whether a temporary surge in purchases should be interpreted as a lasting change in demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Show D0 to D1 and possibly back when preferences reverse at the same price.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Show D0 to D1 and possibly back when preferences reverse at the same price.

Counterargument and conditions. Stocking up or expected future prices can explain a surge without permanent preference change.

Application and real-world example. Pandemic household goods buying and later normalisation in the ONS retail series (A).

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 17

Hard | SL/HL | 25 marks

Topic 2.1: future price expectations; Expected future price rise

(a) [10] Using an appropriate diagram, explain how an expected future price rise can affect current demand.

(b) [15] Using real-world examples, discuss whether expectations of higher future prices always raise current purchases.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Buying earlier shifts current D right, if the purchase can be advanced and buyers believe the forecast.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Buying earlier shifts current D right, if the purchase can be advanced and buyers believe the forecast.

Counterargument and conditions. Limited ability to store or advance purchase, uncertain forecasts, and budget constraints qualify the response.

Application and real-world example. Pre-purchase of durable goods ahead of announced price changes is a possible documented case.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 18

Medium | SL/HL | 25 marks

Topic 2.1: future price expectations; Expected future price fall

(a) [10] Using an appropriate diagram, explain how an expected future price fall can affect present demand.

(b) [15] Using real-world examples, evaluate whether consumers should postpone purchases whenever they expect a lower future price.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Delay reduces current demand, shifting D left, for deferrable purchases.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Delay reduces current demand, shifting D left, for deferrable purchases.

Counterargument and conditions. Urgency, uncertainty and waiting costs can make immediate purchase rational without new concepts.

Application and real-world example. Consumers awaiting a scheduled electronics sale offer a practical example; distinguish the sale from present own price.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 19

Hard | SL/HL | 25 marks

Topic 2.1: future price expectations; Expectation versus current price

(a) [10] Explain the difference between the effect on current demand of an expected future price change and an actual change in today's price.

(b) [15] Using real-world examples, discuss whether expected and actual price changes can have opposite effects on current purchases.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Expectation shifts today's D; today's own-price change is movement along a given D, ceteris paribus.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Expectation shifts today's D; today's own-price change is movement along a given D, ceteris paribus.

Counterargument and conditions. They may occur together; compare a credible future discount with a current discount and identify timing.

Application and real-world example. Retail Black Friday announcements versus a price cut already in effect (A for 2020 retail context).

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 20

Medium | SL/HL | 25 marks

Topic 2.1: future price expectations; Reversed expectations

(a) [10] Explain how a revision from an expected price rise to an expected price fall may affect current demand.

(b) [15] Using real-world examples, evaluate how reliable future-price expectations are as an explanation of observed demand changes.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. At given current price, shift from buying early toward postponement; signs depend on ability to time purchases.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. At given current price, shift from buying early toward postponement; signs depend on ability to time purchases.

Counterargument and conditions. Expectations are hard to observe directly and can coexist with shifts in income or taste.

Application and real-world example. A named consumer survey and corresponding pre-sale purchases, if cited accurately, would be apt.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 21

Easy | SL/HL | 25 marks

Topic 2.1: prices of substitutes; Substitutes: price rise

(a) [10] Using an appropriate diagram, explain how an increase in the price of a substitute can affect demand for a good.

(b) [15] Using real-world examples, discuss whether a rise in the price of one good will always increase demand for its substitute.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. Substitutes are alternatives in consumption; complements are used jointly. The other good's price is a non-price determinant of focal demand.

Required reasoning. At constant own price, some buyers switch from dearer substitute, shifting focal D right.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. At constant own price, some buyers switch from dearer substitute, shifting focal D right.

Counterargument and conditions. Goods may be weak substitutes for some, and simultaneous determinants can offset the effect.

Application and real-world example. Two competing rail or coach services on the same route provide an illustrative case.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 22

Medium | SL/HL | 25 marks

Topic 2.1: prices of substitutes; Substitutes: price fall

(a) [10] Using an appropriate diagram, explain how a decrease in the price of a substitute can affect demand for a good.

(b) [15] Using real-world examples, evaluate whether the availability of a cheaper alternative is sufficient to reduce demand for a product.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. Substitutes are alternatives in consumption; complements are used jointly. The other good's price is a non-price determinant of focal demand.

Required reasoning. Buyers switch toward the cheaper alternative, reducing demand for the focal good at each own price.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Buyers switch toward the cheaper alternative, reducing demand for the focal good at each own price.

Counterargument and conditions. Loyalty, quality, location and preferences qualify switching; do not require cross-price elasticity.

Application and real-world example. Online and in-store alternatives in the ONS 2020 retail case (A), with access changes explicitly acknowledged.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 23

Hard | SL/HL | 25 marks

Topic 2.1: prices of substitutes; Two competing products

(a) [10] Explain why the price of one product may be a non-price determinant of demand for another product.

(b) [15] Using real-world examples, discuss whether two products can be substitutes for some consumers but not others.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. Substitutes are alternatives in consumption; complements are used jointly. The other good's price is a non-price determinant of focal demand.

Required reasoning. Other product's price can change willingness to buy focal good at a fixed focal price; substitution depends on use.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Other product's price can change willingness to buy focal good at a fixed focal price; substitution depends on use.

Counterargument and conditions. Different consumers can see the goods as distinct or closely interchangeable; aggregation can conceal the difference.

Application and real-world example. Bus and rail on a shared commuter route versus inaccessible routes.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 24

Medium | SL/HL | 25 marks

Topic 2.1: prices of substitutes; New substitute

(a) [10] Explain how the appearance of a new substitute can affect demand for an existing good, even if its own price is unchanged.

(b) [15] Using real-world examples, evaluate whether the availability of new alternatives necessarily reduces demand for an established product.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. Substitutes are alternatives in consumption; complements are used jointly. The other good's price is a non-price determinant of focal demand.

Required reasoning. A viable alternative diverts buyers, reducing quantities demanded at each old-product price.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. A viable alternative diverts buyers, reducing quantities demanded at each old-product price.

Counterargument and conditions. Some consumers retain preferences; marketing, population and complement availability could offset.

Application and real-world example. Electric-car adoption and conventional-car choices; IEA case B gives factual context, not a quantified causal effect.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 25

Medium | SL/HL | 25 marks

Topic 2.1: prices of substitutes; Substitute and taste changes

(a) [10] Using an appropriate diagram, explain how a fall in a substitute's price and a favourable change in tastes can affect demand for a good.

(b) [15] Using real-world examples, discuss whether the direction of a change in demand can always be determined when multiple determinants change.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. Substitutes are alternatives in consumption; complements are used jointly. The other good's price is a non-price determinant of focal demand.

Required reasoning. Cheaper substitute shifts focal D left, stronger preference shifts it right; net depends on relative sizes.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Cheaper substitute shifts focal D left, stronger preference shifts it right; net depends on relative sizes.

Counterargument and conditions. Avoid asserting offset exactly or an inevitable direction without evidence.

Application and real-world example. A local café faces a rival's discount while developing its own following.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 26

Easy | SL/HL | 25 marks

Topic 2.1: prices of complements; Complements: price rise

(a) [10] Using an appropriate diagram, explain how a rise in the price of a complement affects demand for a good.

(b) [15] Using real-world examples, discuss whether a rise in the price of a complementary good will always reduce demand for a product.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. Substitutes are alternatives in consumption; complements are used jointly. The other good's price is a non-price determinant of focal demand.

Required reasoning. More costly joint use reduces focal quantity demanded at each focal price, shifting its D left.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. More costly joint use reduces focal quantity demanded at each focal price, shifting its D left.

Counterargument and conditions. Strength of joint use varies; alternative complements and other demand shifts may dominate.

Application and real-world example. Petrol and petrol-powered car usage; 2020 fuel figures A are not proof of a price-only effect.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 27

Hard | SL/HL | 25 marks

Topic 2.1: prices of complements; Complements: price fall

(a) [10] Using an appropriate diagram, explain how a fall in the price of a complement affects demand for a good.

(b) [15] Using real-world examples, evaluate the importance of complementary products in explaining demand for a main product.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. Substitutes are alternatives in consumption; complements are used jointly. The other good's price is a non-price determinant of focal demand.

Required reasoning. Cheaper joint-use good increases appeal of main good, shifting its D right under fixed own price.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Cheaper joint-use good increases appeal of main good, shifting its D right under fixed own price.

Counterargument and conditions. Relevance depends on whether most purchasers need the complement; income and tastes may also matter.

Application and real-world example. Electric cars and charging access in IEA case B; availability can matter as well as price.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 28

Medium | SL/HL | 25 marks

Topic 2.1: prices of complements; Strength of complementarity

(a) [10] Explain why the price of a complement can affect the demand for a good even when its own price is unchanged.

(b) [15] Using real-world examples, discuss whether goods that are often bought together are necessarily complements.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. Substitutes are alternatives in consumption; complements are used jointly. The other good's price is a non-price determinant of focal demand.

Required reasoning. True complement relationship concerns how one good's price affects demand for other, not merely correlated purchases.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. True complement relationship concerns how one good's price affects demand for other, not merely correlated purchases.

Counterargument and conditions. Joint buying can reflect a third cause; distinguish a functional relationship from co-occurrence.

Application and real-world example. Printers and ink cartridges versus goods bought together only in a holiday season.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 29

Hard | SL/HL | 25 marks

Topic 2.1: prices of complements; Two related goods

(a) [10] Explain how a rise in the price of one good can shift demand for a substitute and for a complement in different directions.

(b) [15] Using real-world examples, evaluate whether identifying the relationship between goods is sufficient to predict the size of a demand shift.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. Substitutes are alternatives in consumption; complements are used jointly. The other good's price is a non-price determinant of focal demand.

Required reasoning. Substitute demand tends right, complement demand tends left, each at unchanged own price.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Substitute demand tends right, complement demand tends left, each at unchanged own price.

Counterargument and conditions. Strength depends on buyer options, importance of joint consumption and concurrent changes; no coefficient needed.

Application and real-world example. Fuel, public transport and car use provide a contextual comparison when the specific relationships are explained.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 30

Medium | SL/HL | 25 marks

Topic 2.1: prices of complements; Complement and income

(a) [10] Using an appropriate diagram, explain how an increase in income and an increase in the price of a complement may affect demand for a normal good.

(b) [15] Using real-world examples, discuss whether income growth will necessarily raise demand for goods that require costly complementary purchases.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. Substitutes are alternatives in consumption; complements are used jointly. The other good's price is a non-price determinant of focal demand.

Required reasoning. Income tends right, dearer complement tends left; net ambiguous without magnitudes.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Income tends right, dearer complement tends left; net ambiguous without magnitudes.

Counterargument and conditions. Some buyers may find the complement essential while others can switch; normal-good assumption matters.

Application and real-world example. Electric-car purchase and charging costs (B) provide a concrete case without policy appraisal.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 31

Easy | SL/HL | 25 marks

Topic 2.1: number of consumers; Number of consumers: growth

(a) [10] Using an appropriate diagram, explain how an increase in the number of consumers affects market demand.

(b) [15] Using real-world examples, discuss whether population growth necessarily increases demand for every good.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. More potential buyers add quantities at each price for a relevant market; market D tends right.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. More potential buyers add quantities at each price for a relevant market; market D tends right.

Counterargument and conditions. New consumers may not want a particular good, and tastes, income or departures elsewhere matter.

Application and real-world example. Population growth in a city and demand for local groceries, conditioned on residents' purchases.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 32

Medium | SL/HL | 25 marks

Topic 2.1: number of consumers; Number of consumers: decline

(a) [10] Using an appropriate diagram, explain how a decline in the number of consumers affects market demand.

(b) [15] Using real-world examples, evaluate whether changes in population are more important than changes in income for local demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Fewer potential buyers shift local market D left if their former purchases disappear.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Fewer potential buyers shift local market D left if their former purchases disappear.

Counterargument and conditions. Remaining buyers' income or visitors could offset; relative importance differs by good and location.

Application and real-world example. A declining town's retail market, or visitor-dependent restaurants, as a documented case.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 33

Hard | SL/HL | 25 marks

Topic 2.1: number of consumers; definition of market; Market boundary

(a) [10] Explain why a change in the number of consumers may shift demand in one market but not another.

(b) [15] Using real-world examples, discuss the importance of defining a market when interpreting shifts in demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Geographic or product boundaries determine counted buyers; relocation increases one local market and decreases another.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Geographic or product boundaries determine counted buyers; relocation increases one local market and decreases another.

Counterargument and conditions. Broad national total may be unchanged; the market definition must match the data.

Application and real-world example. Students moving to a university city shift local demand while the national student count does not change.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 34

Medium | SL/HL | 25 marks

Topic 2.1: number of consumers; Visitors and residents

(a) [10] Explain how an increase in visitors can raise market demand without a rise in the resident population.

(b) [15] Using real-world examples, evaluate whether resident population figures adequately measure the number of consumers in a market.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Visitors add quantities at each price for visitor-used goods; residents alone miss temporary buyers.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Visitors add quantities at each price for visitor-used goods; residents alone miss temporary buyers.

Counterargument and conditions. Seasonality and preferences determine contribution; some visitors displace resident purchases.

Application and real-world example. Tourist recovery and local restaurant demand; specify city and period in an answer.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 35

Medium | SL/HL | 25 marks

Topic 2.1: number of consumers; Buyers and preferences

(a) [10] Explain how an increase in the number of consumers and a decrease in the average preference for a good can affect market demand.

(b) [15] Using real-world examples, discuss whether knowing the number of potential buyers is enough to explain market demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Buyer-count rise adds demand, preference decline reduces demand; net depends on each effect and heterogeneity.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Buyer-count rise adds demand, preference decline reduces demand; net depends on each effect and heterogeneity.

Counterargument and conditions. Potential buyers need willingness and ability to purchase; one determinant never fixes full curve.

Application and real-world example. A growing city with changing dietary preferences supplies an illustrative setting.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 36

Easy | SL/HL | 25 marks

Topic 2.1: movements along and shifts of demand; Movement and shift: two-stage

(a) [10] Using an appropriate diagram, explain how a change in income followed by a change in a good's own price affects quantity demanded of a normal good.

(b) [15] Using real-world examples, discuss whether observing only the initial and final purchases reveals the path of demand changes.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Income shift D right first, then own-price movement along D1; explain both stages at relevant prices.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Income shift D right first, then own-price movement along D1; explain both stages at relevant prices.

Counterargument and conditions. Net observed quantity may not identify either causal step if timing and determinants are unknown.

Application and real-world example. A recovering restaurant market with later menu price adjustment; no supply model required.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 37

Hard | SL/HL | 25 marks

Topic 2.1: movements along and shifts of demand; Movement and shift: same quantity

(a) [10] Using an appropriate diagram, explain how a rise in income and a rise in own price can leave the quantity purchased of a normal good unchanged.

(b) [15] Using real-world examples, evaluate whether stable purchases imply stable demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. A rightward demand shift and movement up along new D may offset in quantity; identify distinct prices and curves.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. A rightward demand shift and movement up along new D may offset in quantity; identify distinct prices and curves.

Counterargument and conditions. Stable purchases may mask changes; it may also reflect no change if conditions are stable.

Application and real-world example. Local leisure demand in a recovery with changed admission prices is a possible documented case.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 38

Medium | SL/HL | 25 marks

Topic 2.1: movements along and shifts of demand; Movement and shift: opposite effects

(a) [10] Explain why a fall in a good's price need not cause the observed quantity purchased to rise when preferences are changing.

(b) [15] Using real-world examples, discuss whether the law of demand can be tested by comparing two observations of price and purchases.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Lower price tends to move down/right on a given D; weaker preferences shift D left and can outweigh it.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Lower price tends to move down/right on a given D; weaker preferences shift D left and can outweigh it.

Counterargument and conditions. A two-point comparison is inadequate unless determinants are controlled; this is not a claim that law is meaningless.

Application and real-world example. 2020 clothing sales and access/taste shifts (A) illustrate confounding, not a controlled test.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 39

Hard | SL/HL | 25 marks

Topic 2.1: movements along and shifts of demand; Different determinants, same shift

(a) [10] Using an appropriate diagram, explain how either a rise in income for a normal good or a rise in the price of a substitute can increase demand.

(b) [15] Using real-world examples, discuss whether a rightward shift of demand identifies which non-price determinant changed.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Both raise quantity demanded at every focal-good price and yield same rightward D diagram.

Expected diagram. Demand diagram: price (P) on the vertical axis and quantity demanded (Q) on the horizontal axis; label an initial downward-sloping D0. Show and label each stated non-price determinant as a rightward or leftward shift to D1 at a fixed reference price; show an own-price change as two marked points on the SAME demand curve, with price and quantity guide lines if useful. For simultaneous changes, mark the intermediate curve/point and explain the net quantity only conditionally. No supply curve, equilibrium, welfare area or calculation is required. Credit other equivalent correctly labeled diagrams.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Both raise quantity demanded at every focal-good price and yield same rightward D diagram.

Counterargument and conditions. Evidence on income and alternative prices is needed; both may change together.

Application and real-world example. Rail travel demand after rising incomes or competing coach fare changes; context must support the claim.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 40

Medium | SL/HL | 25 marks

Topic 2.1: movements along and shifts of demand; Changed demand, unchanged sales

(a) [10] Explain why a decrease in demand can coincide with an increase in quantity purchased if own price falls sufficiently.

(b) [15] Using real-world examples, evaluate whether sales figures alone are reliable evidence of consumer preferences.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve.

Required reasoning. Demand shifts left at each price, while lower price moves down/right on new curve; net observed purchases can rise.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Demand shifts left at each price, while lower price moves down/right on new curve; net observed purchases can rise.

Counterargument and conditions. Without the price path and other determinants, sales cannot reveal tastes; positive shift is another possible explanation.

Application and real-world example. A fashion retailer's clearance sales after interest wanes illustrates the two forces.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 41

Easy | HL | 25 marks

Topic 2.1: HL assumptions underlying the law of demand; HL: substitution effect; HL: substitution effect

(a) [10] Explain how the substitution effect contributes to the downward slope of an individual's demand curve when a good's price falls.

(b) [15] Using real-world examples, discuss whether substitution alone can explain consumers' responses to price reductions.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. The substitution effect follows a relative-price change; the income effect follows a real purchasing-power change. Diminishing marginal utility means additional units give successively less extra satisfaction, under relevant conditions.

Required reasoning. The good becomes relatively cheaper than alternatives, inducing substitution toward it at unchanged money income in the conceptual decomposition.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis. Do not confuse an income effect from a price change with a rise in money income; inferior need not imply upward-sloping demand.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. The good becomes relatively cheaper than alternatives, inducing substitution toward it at unchanged money income in the conceptual decomposition.

Counterargument and conditions. Income effect may reinforce or offset, and switching opportunities vary across goods; no elasticity calculation.

Application and real-world example. A commuter switching from coach to cheaper rail fare provides a contextual illustration.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 42

Medium | HL | 25 marks

Topic 2.1: HL assumptions underlying the law of demand; HL: income effect; HL: income effect

(a) [10] Explain how the income effect of a fall in a good's price can differ for normal and inferior goods.

(b) [15] Using real-world examples, evaluate whether the income effect always reinforces the substitution effect.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. The substitution effect follows a relative-price change; the income effect follows a real purchasing-power change. Diminishing marginal utility means additional units give successively less extra satisfaction, under relevant conditions.

Required reasoning. Lower own price raises real purchasing power; for normal good income effect increases purchase, for inferior good it reduces purchase relative to compensated choice.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis. Do not confuse an income effect from a price change with a rise in money income; inferior need not imply upward-sloping demand.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Lower own price raises real purchasing power; for normal good income effect increases purchase, for inferior good it reduces purchase relative to compensated choice.

Counterargument and conditions. Substitution effect from lower relative price raises quantity; total generally downward except possible exceptional dominance, which is not required.

Application and real-world example. A household reallocating grocery spending after a price fall; specify normal/inferior status rather than assume it.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 43

Hard | HL | 25 marks

Topic 2.1: HL assumptions underlying the law of demand; HL: relative and purchasing power; HL: relative and purchasing power

(a) [10] Explain how a fall in the price of a normal good produces both a substitution effect and an income effect.

(b) [15] Using real-world examples, discuss whether one of these effects is necessarily more important than the other.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. The substitution effect follows a relative-price change; the income effect follows a real purchasing-power change. Diminishing marginal utility means additional units give successively less extra satisfaction, under relevant conditions.

Required reasoning. Relative price falls and real purchasing power rises; both encourage more quantity of a normal good.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis. Do not confuse an income effect from a price change with a rise in money income; inferior need not imply upward-sloping demand.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Relative price falls and real purchasing power rises; both encourage more quantity of a normal good.

Counterargument and conditions. Their magnitude depends on alternatives and budget significance; demand curve alone does not measure decomposition.

Application and real-world example. A reduction in commuter fare versus a small discount on a low-cost item illustrates different potential importance.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 44

Medium | HL | 25 marks

Topic 2.1: HL assumptions underlying the law of demand; HL: inferior good price fall; HL: inferior good price fall

(a) [10] Explain why the substitution and income effects of a fall in the price of an inferior good act in opposite directions.

(b) [15] Using real-world examples, evaluate the claim that inferior goods must have upward-sloping demand curves.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. The substitution effect follows a relative-price change; the income effect follows a real purchasing-power change. Diminishing marginal utility means additional units give successively less extra satisfaction, under relevant conditions.

Required reasoning. Substitution toward cheaper good raises quantity, higher real income leads consumer to buy less of inferior good; net usually still rises if substitution dominates.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis. Do not confuse an income effect from a price change with a rise in money income; inferior need not imply upward-sloping demand.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Substitution toward cheaper good raises quantity, higher real income leads consumer to buy less of inferior good; net usually still rises if substitution dominates.

Counterargument and conditions. Inferiority by itself does not establish net sign; unusual dominance needs evidence and is beyond ordinary examples.

Application and real-world example. A low-cost food or transport option can illustrate conditional effects without assigning universal classification.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 45

Medium | HL | 25 marks

Topic 2.1: HL assumptions underlying the law of demand; HL: diminishing marginal utility; HL: diminishing marginal utility

(a) [10] Explain how diminishing marginal utility may help account for the downward slope of a demand curve.

(b) [15] Using real-world examples, discuss whether diminishing marginal utility by itself provides a complete explanation of consumer demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. The substitution effect follows a relative-price change; the income effect follows a real purchasing-power change. Diminishing marginal utility means additional units give successively less extra satisfaction, under relevant conditions.

Required reasoning. Successive units give smaller extra satisfaction, so lower price can justify buying extra units, other things equal.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis. Do not confuse an income effect from a price change with a rise in money income; inferior need not imply upward-sloping demand.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Successive units give smaller extra satisfaction, so lower price can justify buying extra units, other things equal.

Counterargument and conditions. Utility reasoning alone does not identify income, substitutes, tastes or buyer numbers and does not determine market quantity.

Application and real-world example. Additional servings or streaming rentals illustrate successive units; avoid claiming measurable utils.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 46

Easy | HL | 25 marks

Topic 2.1: HL assumptions underlying the law of demand; HL: marginal utility and variety; HL: marginal utility and variety

(a) [10] Explain why a consumer may buy more of a good at a lower price when the marginal utility of successive units falls.

(b) [15] Using real-world examples, evaluate whether the declining satisfaction from extra units applies equally to all purchasing decisions.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. The substitution effect follows a relative-price change; the income effect follows a real purchasing-power change. Diminishing marginal utility means additional units give successively less extra satisfaction, under relevant conditions.

Required reasoning. Additional units have lower marginal satisfaction; a lower price makes further purchases worthwhile given other options.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis. Do not confuse an income effect from a price change with a rise in money income; inferior need not imply upward-sloping demand.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Additional units have lower marginal satisfaction; a lower price makes further purchases worthwhile given other options.

Counterargument and conditions. Goods can be consumed with complements or over time; how units are defined and preferences matter.

Application and real-world example. Coffee cups in one day versus a monthly service plan distinguish units and periods.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 47

Hard | HL | 25 marks

Topic 2.1: HL assumptions underlying the law of demand; HL: utility and market demand; HL: utility and market demand

(a) [10] Explain why diminishing marginal utility of consumption by one consumer does not by itself determine market demand.

(b) [15] Using real-world examples, discuss whether individual satisfaction is sufficient to explain changes in market demand.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. The substitution effect follows a relative-price change; the income effect follows a real purchasing-power change. Diminishing marginal utility means additional units give successively less extra satisfaction, under relevant conditions.

Required reasoning. Individual extra satisfaction informs one consumer's willingness to buy, while market D sums heterogeneous individuals at each price.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis. Do not confuse an income effect from a price change with a rise in money income; inferior need not imply upward-sloping demand.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Individual extra satisfaction informs one consumer's willingness to buy, while market D sums heterogeneous individuals at each price.

Counterargument and conditions. Number of buyers, income and preferences alter market curve even if one consumer's utility pattern is unchanged.

Application and real-world example. Visitor-driven restaurant demand illustrates market aggregation beyond one regular diner's choices.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 48

Medium | HL | 25 marks

Topic 2.1: HL assumptions underlying the law of demand; HL: substitution with few options; HL: substitution with few options

(a) [10] Explain how the availability of close substitutes can affect the substitution effect of a price change.

(b) [15] Using real-world examples, discuss whether a price rise is likely to change consumption when few substitutes exist.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. The substitution effect follows a relative-price change; the income effect follows a real purchasing-power change. Diminishing marginal utility means additional units give successively less extra satisfaction, under relevant conditions.

Required reasoning. With close alternatives a relative price change can redirect choice; fewer alternatives limit this channel.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis. Do not confuse an income effect from a price change with a rise in money income; inferior need not imply upward-sloping demand.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. With close alternatives a relative price change can redirect choice; fewer alternatives limit this channel.

Counterargument and conditions. Income effect and available budget can still change purchase, so do not equate weak substitution with no price response.

Application and real-world example. Fuel for a car-dependent commuter versus several urban transit options.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 49

Hard | HL | 25 marks

Topic 2.1: HL assumptions underlying the law of demand; HL: both effects and tastes; HL: both effects and tastes

(a) [10] Explain how the income and substitution effects help explain a movement along demand, while a change in tastes shifts demand.

(b) [15] Using real-world examples, evaluate whether the two effects of a price change are enough to explain changes in observed purchases.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. The substitution effect follows a relative-price change; the income effect follows a real purchasing-power change. Diminishing marginal utility means additional units give successively less extra satisfaction, under relevant conditions.

Required reasoning. Effects arise from a change in own price on a given individual demand schedule; changed tastes alter demand at each price.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis. Do not confuse an income effect from a price change with a rise in money income; inferior need not imply upward-sloping demand.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Effects arise from a change in own price on a given individual demand schedule; changed tastes alter demand at each price.

Counterargument and conditions. Simultaneous preferences, income and population shifts prevent direct inference from observed sales.

Application and real-world example. 2020 online retail growth (A) involved access and tastes alongside prices.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Question 50

Medium | HL | 25 marks

Topic 2.1: HL assumptions underlying the law of demand; HL: utility and exceptions; HL: utility and exceptions

(a) [10] Explain how the law of diminishing marginal utility and the income and substitution effects each relate to the law of demand.

(b) [15] Using real-world examples, discuss whether these explanations guarantee that every observed price rise is followed by fewer purchases.

Part (a) - Indicative answer and marking guidance

Essential concepts. Demand is quantities consumers are willing and able to purchase at alternative prices, ceteris paribus. Quantity demanded refers to one price; a non-price change shifts the whole curve. The substitution effect follows a relative-price change; the income effect follows a real purchasing-power change. Diminishing marginal utility means additional units give successively less extra satisfaction, under relevant conditions.

Required reasoning. Diminishing extra satisfaction motivates lower willingness to pay for successive units; price change affects relative price and real income.

Expected diagram. No compulsory diagram in this part. If drawn, inspect P on vertical axis, Q on horizontal axis, downward-sloping demand, correct direction of shifts or movements, and written interpretation. Do not infer accuracy from an unclear image.

Common misconceptions. A movement along D follows the good's own price; a shift follows a non-price determinant. Avoid equating actual purchases with a controlled quantity demanded at one stated price; do not import supply or elasticity analysis. Do not confuse an income effect from a price change with a rise in money income; inferior need not imply upward-sloping demand.

Acceptable alternatives. Credit a different accurate case or an equivalent verbal/graphical route. No numerical elasticity, supply equilibrium, taxes, surplus, or welfare model is required.

Part (b) - Indicative answer and marking guidance

Main argument. Diminishing extra satisfaction motivates lower willingness to pay for successive units; price change affects relative price and real income.

Counterargument and conditions. These are conditional individual mechanisms; inferior-good income effect may oppose substitution and determinants can change simultaneously.

Application and real-world example. 2020 fuel and clothing sales (A) show why observed market outcomes need contextual determinants.

Evaluation and judgment. Weigh the named mechanism against the specified conditions and competing demand determinants. A defensible judgment states what evidence would distinguish the explanations and does not infer a unique market price from a demand curve alone. A high-quality response applies at least one real case, explains both sides, and reaches a conditional conclusion tied to the question.

Source register

IB Economics guide, first assessment 2022, printed pp. 25-26 (Topic 2.1) and pp. 57-58 (Paper 1 assessment). Official publication hosted by an IB teaching site.

Open IB guide

A: UK Office for National Statistics, Impact of the coronavirus (COVID-19) pandemic on retail sales in 2020 (2021). Records online-sales growth and sector-specific declines while noting restrictions and changes in access. This descriptive source does not isolate a price or taste effect.

Open ONS analysis

B: International Energy Agency, Global EV Outlook 2024. Use as a factual anchor for electric-vehicle adoption and charging infrastructure. Do not infer a uniquely quantified cross-good price effect from adoption alone.

Open IEA report

Other named, accurate real-world examples are welcome. A plausible hypothetical example may explain a mechanism in (a), but alone does not satisfy a request for real-world examples in (b).

Final checks

50 numbered paired questions, each [10] plus [15]; 40 shared SL/HL and 10 HL-only; 10 Easy, 25 Medium, 15 Hard. Separate student paper and teacher guide. No later-topic diagram or calculation is required.